

unlike KRAS in the securities market who thoroughly verify data. This lack of standardisation dilutes the registry's effectiveness and creates confusion during customer onboarding and verification," he adds.

Data quality issues can include mismatched names, blurred photos and incorrect document tags.

Amendments to the RBI master directions on KYC, effective November 6, 2024, enable banks to establish an account-based relationship with customers based on CKYC, without the need to provide documentation again.

With this, customers can avoid re-submitting PAN, Aadhaar and photos with every new investment

to promote widespread usage of CKYC shall enable consumption of reverse feed to make it the preferred mechanism for all financial activities," says Alok Rastogi, head of the Corporate Centre at RBL Bank.

FIRST-TIME INVESTORS

Customer experience of first-time investors and the underbanked is another issue. "Those who have not linked their Aadhaar and PAN can't invest. But even after registration, validation is required. But for that, OTP doesn't last long; so you have to repeat the process if your investor isn't available at that time," says Agra-based Shefali Satsangee, founder of mutual fund

separate KYC protocols, creating duplication and compliance fatigue for institutions and consumers alike.

Lastly, and more fundamentally, CKYC's governance model prioritises surveillance over service delivery.

Central Registry of Securitisation Asset Reconstruction and Security Interest has been notified as the CKYC agency under the PMLA, placing it effectively under the control of the Enforcement Directorate, whose primary mandate is to prevent money laundering. Unlike KRAs that operate within the securities market to facilitate investor transactions, CKYC lacks a commercial or investor-facing orientation

"This enforcement-heavy framework limits innovation and discourages investment-friendly features. Without a clear mandate to enhanced financial access, CKYC has become an additional compliance burden rather than a tool for empowering investors," says Roongta.

Regulatory alignment and convergence are also important to resolve CKYC issues. Regulators must align their standards and processes to forge a uniform KYC framework that seamlessly caters to banking, insurance, capital market and pension segments.

The road ahead for CKYC lies in regulatory alignment with recalibration of CKYC's governance framework, technological modernisation and customer empowerment and engagement. **BT**

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Privacy and security have been key concerns around a centralised system for data storage and collection

or loan application.

"This could resolve data inaccuracies as this has placed additional responsibilities on banks to ensure the veracity of due diligence measures and data posting; these records can now be used as is, to establish new relationships and enhance the onboarding customer experience. Records updated once can now be re-used, without the need to perform the same act multiple times.

"Collaborative efforts required from banks, financial intermediaries and regulators

distributor Funds Ve'daa.

She adds that delays in record activation or rejection of documents without clear reasons often push users away from digital channels.

The lack of uniformity across regulators adds another layer of complexity. While CKYC is overseen by the Ministry of Finance, sectoral regulators like RBI, Sebi, the Insurance Regulatory and Development Authority of India and the Pension Fund Regulatory and Development Authority continue to maintain